company bonds and shares thus created in turn needed a market where they could easily be bought and sold. These same conditions have arisen in all modern countries, earlier in some and later in others. But everywhere the effect was the same — the imperative need of a regular and dependable market for both government and company securities.

Necessity of Discipline

The form which such security markets ultimately assumed has also been roughly alike in all modern countries, and has followed a very similar course of natural evolution. The earliest security markets, both here and in Europe, sprang up in the already existing markets for wholesale materials and merchandise. In London, the first stockbrokers gathered in the Royal exchange, which had been erected primarily as a facility for merchants. In New York the original stockbrokers appeared in the mercantile auctions held on the wharves at the foot of Wall street, and in the adjacent coffeehouses frequented by merchants. As the volume of security transactions increased, however, a second stage of evolution occurred, in which the stockbrokers and security dealers organized separate markets in the streets. In London, they thronged in Exchange alley, in Paris in the Rue Quincampoix, and in New York in lower Wall street under the traditional buttonwood tree. The New York stock exchange met as a curb market in this way from 1792 to 1817, and in our own times the New York curb exchange held its meetings in lower Broad street until it went under a roof in 1921.

Stock exchange discipline and self-regulation are based squarely upon the power to expel, suspend or fine its members. Everywhere experience has shown that it is impossible in practice to regulate and control a market in the city streets, because brokers who employ improper tactics cannot be expelled, and dealings in improper security issues